

Investment Credit Memorandum

Maplewood CLO 2023-4 | Maplewood Paperboard | 20 October 2023

1. Recommendation

Credit committee is asked to approve a \$6,900,000 allocation of the Maplewood Paperboard first-lien term loan into the Maplewood CLO 2023-4 warehouse, and to roll that position into the CLO at closing. The borrower is Maplewood Paperboard, headquartered in Green Bay. The financial sponsor is Greenmast Capital. Analyst: Leah Brooks. Committee chair: Peter Groves. Portfolio manager: Sofia Almeida, Dunhill Credit Partners LP.

Recommendation: Approve at a maximum par of \$6,900,000 (1.73% of the \$400,000,000 target CLO portfolio). The name sits inside the 2.0% single obligor concentration limit in the Maplewood CLO 2023-4 indenture. Moody's corporate family rating is B2. S&P issuer credit rating is B. The loan is US dollar denominated and is eligible collateral under the term sheet dated 2 November 2023.

2. Borrower and sponsor

Maplewood Paperboard operates in Paper. The company is owned by Greenmast Capital. Neither the sponsor nor the borrower is affiliated with Dunhill Credit Partners LP.

Related book names in Maplewood CLO 2023-4 include Fox River Plastics, Cascade Health Services. Those names are separate obligors and should not be aggregated for the single obligor test.

3. Facility terms

Instrument: Maplewood Paperboard first-lien term loan. Spread: SOFR + 3.75% with a 0.75% floor. The credit agreement is covenant-lite. Hudson Warehouse Bank is the warehouse lender to Maplewood CLO 2023-4.

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4. Credit highlights and risks

Highlights: sponsor support from Greenmast Capital, first-lien or unitranche collateral, and an allocation inside the 2.0% obligor cap.

Risks: sector cyclicity in Paper and add-on acquisition risk. Leah Brooks confirmed that Moody's industry classification for Maplewood Paperboard is 'Paper'.

5. CLO fit and covenants

The allocation complies with the Class A/B Overcollateralization Test methodology because the loan is par-eligible and rated B2. It uses 1.73 of the 2.00 percentage-point largest-obligor covenant. Sofia Almeida confirmed the trade for Maplewood CLO 2023-4.

If Maplewood Paperboard is downgraded to Caa1, the position would count toward the 7.5% Caa bucket in the Maplewood CLO 2023-4 indenture. Harbor Trust Company, N.A. would reflect that classification on the next monthly trustee report. Dunhill Credit Partners LP would then evaluate a sale during the reinvestment period.

6. Committee decision

Credit committee of Dunhill Credit Partners LP approved the \$6,900,000 purchase for the Maplewood CLO 2023-4 warehouse on 20 October 2023. Voting members: Peter Groves (chair), Sofia Almeida, and Leah Brooks. The trade will settle into the Hudson Warehouse Bank warehouse and be conveyed to Maplewood CLO 2023-4, Ltd. on the closing date of 16 November 2023.